

of shares at bargain prices. How else would they have been able to build the portfolios they had?

‘There may be plenty of fundamentally sound companies. But you can’t make big money by investing in their shares unless you are able to buy them cheap. The equity cult in the country got a big boost in 1977 when Hindustan Lever and Reliance Industries brought out their IPOs within a few weeks of each other. Brokers doubted whether there was enough liquidity in the market to absorb both issues. To everyone’s surprise, both issues got a decent response. Those two issues alone would have caused a massive expansion of the shareholder base in the country.

‘Through the late 1970s and till the early 1980s, there was easy money to be made from public issues. Colgate, HLL, Castrol, Ciba, Ponds, Pfizer, Glaxo, Bata, Cadbury, Richardson Hindustan (now Procter & Gamble), numerous tea plantation companies and others gave handsome returns to investors who risked their money on the shares.

‘Gradually, word got around and more investors began to apply, resulting in issues getting oversubscribed. Once that started to happen, allotments were no longer assured. Still, investors applying for small lots got preference over those who applied for big lots. The offshoot of this was multiple applications by small investors, as this boosted their chances of getting an allotment. Every investor would make at least four to five applications in the names of his kith and kin in addition to his own, hoping at least one would hit the target.

‘Other than MNCs names, some quality Indian companies too came to the market in the 1980s. Hero Honda, TVS, Apollo Hospitals, and Dr Reddy’s were among the notable names.

‘A typical prospectus consisted of a full page in a broadsheet newspaper. Most of the details in the prospectus were statutory information. The small table on profit and loss was sketchy. I guess the volume of information was just right, but the quality of information was suspect. Companies could make any claim, and there was nobody to vet it.

‘Right now, people are worried about a possible bubble in the public issue market waiting to burst. If you ask me, what we are seeing right now is nothing compared with the mania old-timers like me have seen in the mid-1980s. There was a boom in leasing companies soon after Rajiv Gandhi came to power. Many sectors were partly opened up, and this led to a huge requirement for working capital. Since bank finance was limited and